

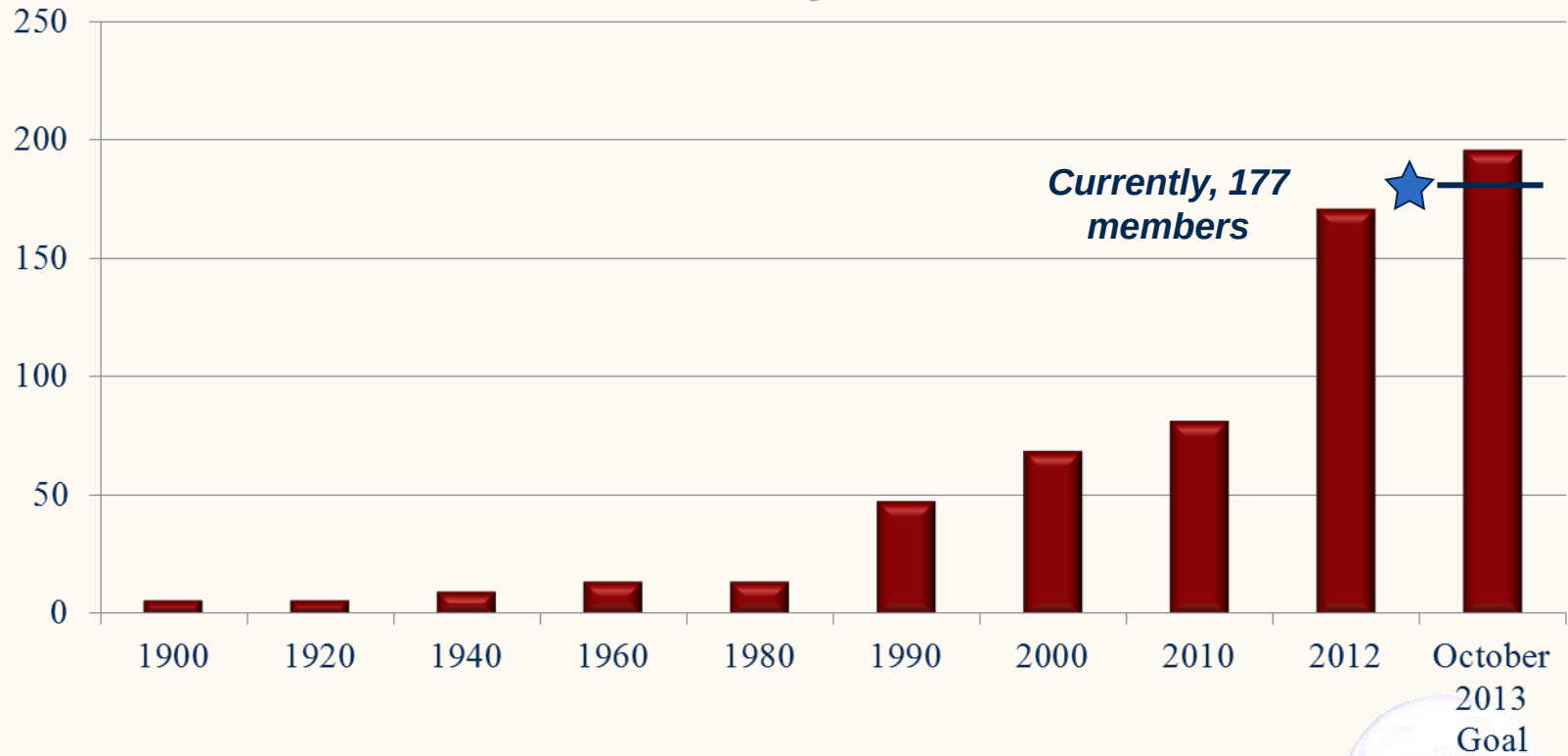
# The Patent Trial and Appeal Board

*Presentation to*  
Japanese Intellectual  
Property Association (JIPA)  
November 1, 2013



# Members of the Board

## Judges



# Judges and Offices (as of October 3, 2013)

- 177 Administrative Patent Judges
  - ◆ Selection continues
- 5 Offices
  - ◆ Washington, DC (Alexandria and Arlington, VA)
  - ◆ Elijah J. McCoy Office (Detroit)
  - ◆ Denver
  - ◆ Dallas
  - ◆ Silicon Valley (Menlo Park)



# Alexandria & Arlington, Virginia



## United States Patent and Trademark Office

600 Dulany Street  
Alexandria, Virginia 22314

2800 South Randolph Street  
Arlington, Virginia 22206

146 Administrative Patent  
Judges



# Detroit, Michigan



Elijah J. McCoy  
United States Patent  
and Trademark Office

300 River Place South  
Suit 2900  
Detroit, Michigan 48207

Opened July 13, 2012

10 Administrative Patent Judges





# Denver, Colorado



## Denver Federal Center

B20/D1000

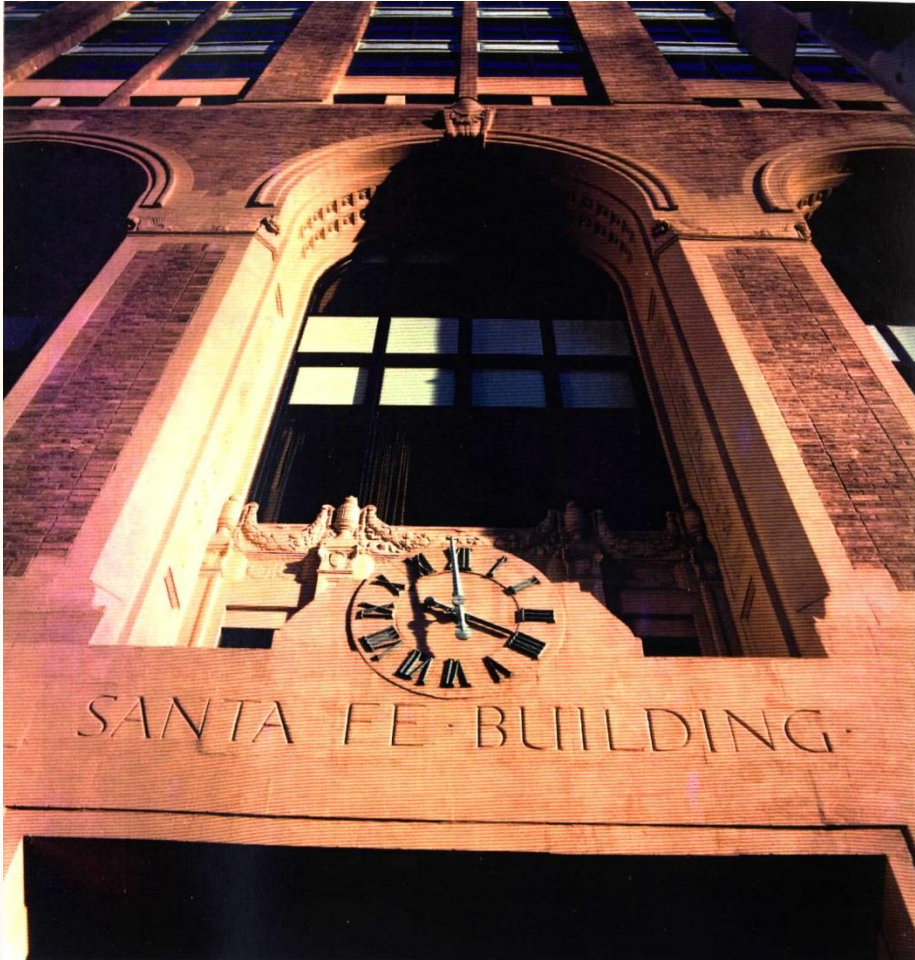
W 6th Ave & Kipling Street  
Lakewood, Colorado 80225

Opened January 2, 2013

8 Administrative Patent Judges



# Dallas, Texas



## Santa Fe Building

1114 Commerce Street  
Suite 705  
Dallas, TX 75202

Opened March 18, 2013

5 Administrative Patent Judges



# Menlo Park, California



## U.S. Geological Survey Building

345 Middlefield Road  
Menlo Park, CA 94025

Opened April 15, 2013

8 Administrative Patent Judges





# Types of Proceedings

- Appeals in *ex parte* patent applications
- Appeals in *ex parte* and *inter partes* reexamination proceedings
- Interferences
- *Inter partes* reviews (IPR)
- Covered business method reviews (CMB)
- Derivations
- (Post-grant reviews) (PGR)



# **AIA Trial Proceedings**



# New Regulations: 37 C.F.R. § 42

- Part 42 – Trial Practice Before the Patent Trial and Appeal Board
  - ◆ Subpart A – General Provisions: 37 C.F.R. §42+
  - ◆ Subpart B – *Inter Partes* Review: 37 C.F.R. §42.100+
  - ◆ Subpart C – Post-Grant Review: 37 C.F.R. §42.200+
  - ◆ Subpart D – Transitional Program for Covered Business Method Patents: 37 C.F.R. §42.300+
  - ◆ Subpart E – Derivation Proceedings: 37 C.F.R. §42.400+



# Federal Register Final Rules

- **General Administrative Trial Final Rules**
  - ◆ 77 Fed. Reg. 48612 (August 14, 2012)
- ***Inter Partes*, Post Grant, and Covered Business Method Review Final Rules**
  - ◆ 77 Fed. Reg. 48680 (August 14, 2012)
- **Covered Business Method and Technological Invention Definitions Final Rules**
  - ◆ 77 Fed. Reg. 48734 (August 14, 2012)
- **Trial Practice Guide**
  - ◆ 77 Fed. Reg. 48756 (August 14, 2012)
- **Change to Implement Derivation Proceedings**
  - ◆ 77 Fed. Reg. 56068 (Sept. 11, 2012)
- ***Inter Partes* Review Technical Correction Final Rule**
  - ◆ 78 Fed. Reg. 17871 (March 25, 2013)





# **AIA Trial Proceedings**

## **IPR   CBM   PGR**



# Trial Proceedings

- Petitioner = any third party (not patent owner)
- Review is barred if petitioner or RPI filed a “civil action” challenging validity of a claim of the patent (DJ action) before filing petition
- If petitioner or RPI files a “civil action” challenging validity *on or after* filing date of IPR petition, civil action is automatically stayed
- A counter-claim challenging validity is not a “civil action” for purposes of above



# Trial Proceedings

**IPR** is barred if petition is filed more than 1 year after date a complaint alleging infringement is *served*. 35 U.S.C. § 315(b)



# Trial Proceedings

- Standard of proof
  - ◆ A “preponderance of evidence”
    - Lower than “clear and convincing evidence” required to challenge validity in district courts
- Final decision within 12 months of institution
  - ◆ Can extend by 6 months, but only for “good cause”  
= rare
  - ◆ Generally, entire process (petition → termination or final decision) will take 18 months or less





# Trial Proceedings

- Estoppel for civil actions and ITC proceedings
  - Precludes petitioner, any real party in interest, or privy from later challenging same patent claim
- IPR/PGR: any ground “*raised or reasonably could have raised*” during review that resulted in final written decision
- CBM: any ground “*raised*” during review that resulted in final written decision



# What Patents and When

- **IPR:** depends on effective filing date
  - Is effective f/d before or after March 16, 2013?
  - Pre-AIA patents – anytime after issuance (technical amendment)
  - Post-AIA patents – 9 months after patent issues or PGR is terminated (whichever is later)
- **CBM:** anytime after suit or charge of infringement
- **PGR:** within 9 months of patent issuance
  - Post-AIA patents only



# Scope for Initiating Review

- **IPR:** “a reasonable likelihood that the petitioner would prevail” with respect to at least one challenged claim
- **CMB/PGR:** “more likely than not that at least one claim is unpatentable” or the petition raises “a novel or unsettled legal question that is important to other patents or applications”



# Scope of Grounds in Petition

- **IPR:** only on § 102 and § 103 grounds, and only on basis of prior art consisting of patents and printed publications
- **PGR:** on any grounds for invalidity (except best mode)



# Scope of Review

- **CBM:** same as PGR, but must be a “covered business method” patent
  - ◆ claims a method or corresponding apparatus for performing data processing or other operations used in the practice, administration, or management of *a financial product or service*
  - ◆ does not include patents for “technological inventions”
    - whether claimed subject matter as a whole recites a technological feature that is novel and unobvious over prior art, and solves a technical problem using a technical solution





# Transitional CBM

- Generally employs PGR procedures/standards *except*:
  - ◆ Petitioner, RPI, or privy must have been **sued** for infringement or **charged** with infringement
  - ◆ Can file any time after issuance (not just within 9 mos.)
  - ◆ Both first-to-invent (pre-AIA) and first-inventor-to-file (post-AIA) patents are eligible
  - ◆ Ground cannot be based on 35 U.S.C. § 102(e) secret prior art
  - ◆ Civil action/ITC estoppel: any ground “**raised**”



# Recent CBM Decisions

- CBM2012-00001 (Jan. 9, 2013)
  - ◆ *SAP v. Versata*
  - ◆ Method for determining price of a product)
  
- CBM2012-00005 (Jan. 23, 2013)
  - ◆ *CRS Adv. Tech. v. Frontline*
  - ◆ Method for performing substitute fulfillment



# Derivation

- **Derivation** – differs from IPR, PGR and CBM
  - ◆ Only an applicant for patent may file a petition to institute a derivation proceeding
  - ◆ Applicant must file petition within 1 year of the date of the first publication of a claim to an invention that is the same or substantially the same as the earlier application's claim to the invention
  - ◆ The petition must set forth with particularity the basis for finding that an inventor named in an earlier application or patent derived the claimed invention



# Judicial Review in Trial Proceedings

- Decision whether to institute
  - ◆ No appeal to court
  - ◆ But may file a request for rehearing
    - Explain how “Board **misapprehended or overlooked**” something
- May appeal final written decisions to the Federal Circuit only
  - ◆ No appeal to district court



# **AIA Trial Proceedings Statistics**



# AIA Progress (FY2013)

- Number of AIA Petitions

| Total | IPR | CBM | DER |
|-------|-----|-----|-----|
| 563   | 514 | 48  | 1   |

- Petition Technology Breakdown (10/3/13)

| Technology              | No. of Petitions | Percentage |
|-------------------------|------------------|------------|
| Electrical/<br>Computer | 405              | 68.4%      |
| Mechanical              | 84               | 14.2%      |
| Chemical                | 55               | 9.3%       |
| Bio/Pharma              | 43               | 7.3%       |
| Design                  | 5                | 0.8%       |





# AIA Progress (FY2013)

- Patent Owner Preliminary Responses

|     | Filed | Waived |
|-----|-------|--------|
| IPR | 236   | 62     |
| CBM | 33    | 2      |

- AIA Petition Dispositions

|     | Instituted Trials | Denials | Joinders | Total |
|-----|-------------------|---------|----------|-------|
| IPR | 168               | 25      | 10       | 203   |
| CBM | 14                | 3       |          | 17    |



# AIA Progress (FY2013)

- AIA Final Dispositions

|     | Settlements | Final Written Decisions |
|-----|-------------|-------------------------|
| IPR | 38          | 1                       |
| CBM | 3           | 1                       |

- Petitions are being filed at the rate of about 2.5 per day (as of October 3, 2013)



# Top Patent Litigation Venues

|                                   |      |
|-----------------------------------|------|
| ■ Eastern District of Texas       | 1266 |
| ■ District of Delaware            | 995  |
| ■ PTAB                            | 563  |
| ■ Central District of California  | 514  |
| ■ Northern District of California | 260  |

FY 2012 data used for District Courts

FY2013 data used for PTAB



# AIA: Faster and Cheaper?

- Time to trial in district court
  - ◆ Median 2.5 years
- Patent Litigation Cost (per AIPLA 2011 Survey)

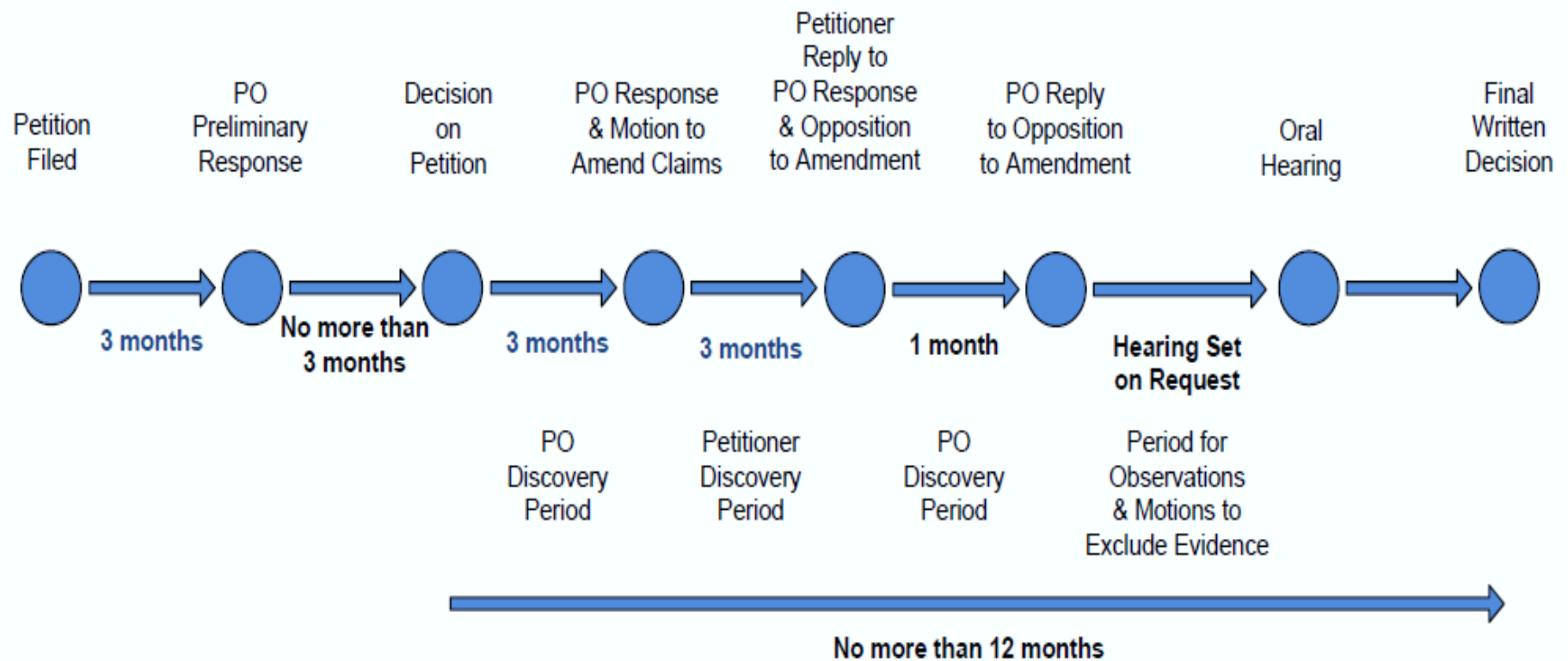
| At risk | Average, all costs, per party |
|---------|-------------------------------|
| < \$1M  | \$916,000                     |
| \$1–25M | \$2,769,000                   |
| > \$25M | \$6,018,000                   |



# Observations on Trial Practice



# Standard Timeline





# Petitions: Compliance

- Circumventing page limit: 37 C.F.R. § 42.6
- Exhibit labeling and numbering: § 42.63
- Mandatory notices: § 42.8
  - ◆ Include in petition; count toward page limit
- Related proceedings: § 42.8(b)(2)
  - “any other judicial or administrative matter that would affect, or be affected by, a decision in the proceeding.”
- Claim charts
- Claim construction required: § 42.104(b)(3)



# Petitions: Substance

- Better to provide detailed analysis for limited number of challenges, rather than identify large number of challenges for which little analysis is provided
- Support conclusions with:
  - ◆ Sound, complete legal analysis per claim per ground
  - ◆ Pinpoint citations to evidentiary record



# Claim Construction

- Standard: **broadest reasonable interpretation** (BRI) in light of the specification of the patent in which claim appears. 37 C.F.R. § 42.100(b)
- Most cases require more construction than mere restatement of the standard
- Justify a proposed construction with evidence
- The Board will construe claim terms even if the parties do not



# Claim Charts

- Purpose of claim charts is to summarize the **evidence**, not the argument
- Claim charts support narrative analysis; they do not replace it
- Use two-column format (see FAQ D13 at [www.uspto.gov/ip/boards/bpai/prps.jsp](http://www.uspto.gov/ip/boards/bpai/prps.jsp))
- Provide pinpoint references to the evidence (see FAQ D12)



# Expert Declarations

- Focused tutorials may help
- Provide underlying objective facts to support testimony; unsupported testimony is entitled to little or no weight
  - ◆ 37 C.F.R. 42.65(a); *see* IPR2013-00022, Paper 43 (denying petition)
- Avoid merely “expertizing” claim charts and analysis



# Obviousness Challenges

- Apply the *Graham* factors
- Explain the rationale to combine
- Support the rationale to combine with evidence
- Differentiate multiple grounds to avoid redundancy denials. *See* CBM2012-00003, Paper 7 (denying redundant grounds)



# Patent Owner Preliminary Response

- Patentability is not decided at institution stage
- Focus arguments on dispositive issues:
  - ◆ Standing (statutory bar, RPI/privy issues)
  - ◆ Reference is not prior art
  - ◆ Prior art lacks a material limitation or teaches away
  - ◆ Unreasonable claim construction
- Arguments not raised in preliminary response are *not* waived





# Discovery – 37 CFR §§ 42.51-53

- Mandatory initial disclosures
  - ◆ With parties' agreement
    - File agreement with Board before filing of patent owner preliminary response & may automatically take discovery upon institution of trial
  - ◆ Without agreement – seek discovery by motion
- Routine discovery
  - ◆ Documents cited; cross-examination for submitted testimony; and information inconsistent with positions advanced during the proceeding
- Additional discovery
  - ◆ Standard: “in the interest of justice” for IPR, whereas the lower good cause is used for PGR and CBM



# Additional Discovery

- Five-factor test articulated in IPR2012-00001, *Garmin v. Cuozzo*, Paper 26:
  1. More than a possibility and mere allegation?
  2. Seeking opponent's litigation position early?
  3. Ability to generate by other means?
  4. Instructions clear?
  5. Overly burdensome to answer?
- Documents: more likely to grant specific, relevant, requests than general requests



# Depositions

- Federal Rules of Evidence apply
- Objections to admissibility waived
- Follow the Testimony Guidelines (Practice Guide Appendix D)
  - ◆ No “speaking” objections or coaching
  - ◆ Instructions not to answer are limited



# Joinder

- Must be a like review proceeding
- Requires filing a motion and petition
- File within one month of institution
- Impact on schedule important



# Post Grant Resources

- Information concerning the Board and specific trial procedures may be found at:

[www.uspto.gov/ptab](http://www.uspto.gov/ptab)

- General information concerning implementation of the Leahy-Smith America Invents Act, including post grant reviews, may be found at:

[www.uspto.gov/aia\\_implementation](http://www.uspto.gov/aia_implementation)



# Representative Decisions

- See [www.uspto.gov/ip/boards/bpai/representative\\_orders\\_and\\_opinions.jsp](http://www.uspto.gov/ip/boards/bpai/representative_orders_and_opinions.jsp)
- Examples of orders, decisions, and notices at various stages of proceedings



# Questions?

- PTAB Web Page

- ◆ [www.uspto.gov](http://www.uspto.gov)

- Click on “PTAB” Circle (left side, halfway down)
    - statistics, argument dates, opinions, the interference web portal, standard operating procedures, rules and other information

- ◆ 571-272-9797

- Staffed every weekday 8:30 a.m. to 4:30 p.m.

- ◆ 572-272-INTF (4683)

- Interference procedural questions ONLY

